Figure 8.4 Global Equities Momentum Using Last 12-Month Returns

We first compare the S&P 500 to the ACWI ex-U.S. over the past year and select whichever one has performed better. We then check to see if our selected index has done better than U.S. Treasury bills. If it has, we invest in that index. If it has not, we invest instead in U.S. aggregate bonds. We repeat this procedure every month.

From 1974 through October 2013, GEM spent 41% of its time in the S&P 500, 29% in the ACWI ex-U.S., and 30% in aggregate bonds. There were only 1.35 switches per year on average between these three assets, which means transaction costs for index switching would have been negligible.[5] Table 8.4 shows the performance of ACWI dual momentum (GEM), ACWI relative momentum, ACWI absolute momentum, and benchmarks of the ACWI index and a permanent 70/30% split between ACWI and U.S. aggregate bonds.

Table 8.4 Momentum Performance by Decade, 1974–2013